International Investing

by Bill Duhamel, Ashish Pant, and Jason Moment

Benjamin Graham and David Dodd did not discuss international investments in any of the first four editions of *Security Analysis*. When they were writing the first edition in 1934, not only was investing in markets outside the United States difficult and costly, but there were few international markets of any size beyond Great Britain, France, and Japan.[1] However, the world today has become more interconnected and economic activity much more global. For instance, today semiconductors are often designed in California, fabricated in Taiwan, packaged and tested in Malaysia or Vietnam, and assembled into smartphones and PCs in China, before being sold globally by U.S., Korean, and Chinese multinationals. Exports have risen from just 5% of global GDP in the 1930s to 25% today.[2] Companies in the S&P 500 Index generate over 30% of their revenues from foreign markets, and many companies in such sectors as technology, materials, and consumer staples generate over half of

[1] Elroy Dimson, Paul Marsh, and Mike Staunton, "Credit Suisse Global Investment Returns Yearbook 2022 Summary Edition," Credit Suisse Research Institute, February 2022, http://www.cepii.fr/pdf_pub/wp/2016/wp2016-14.pdf.

[2] Michel Fouquin and Jules Hugot, "Two Centuries of Bilateral Trade and Gravity Data: 1827–2014," CEPII Working Paper, Centre d'Etudes Prospectives et d'Informations Internationales, May 2016, p.14, https://ourworldindata.org/grapher/merchandise-exports-gdp-cepii?country=OWID_WRL.